

year, just in time for the fund to shed half its value in 2008. Not only have most investors not pocketed any of the fund's 18% gain during the past decade, but the typical investor in the fund has lost nearly 14% per year—a stunning 32-percentage-point investor return/total return gap.” This fund had LIFO investors, last-in first-out, and they came and went at precisely the wrong times.

Just as it's easy to be too active, it's also easy to allow complacency to lead you to do the same things tomorrow that you did yesterday. That's true with investment processes, as well as with the choice of individual investments. Inertia could have kept me in my balance-sheet centric value investing box, but I recognized the need to change. I recognized that the world of business was changing around me at a more accelerated rate than at any point in history, and if I didn't change with it, then I would likely suffer long-term underperformance and irrelevancy. This is particularly true with regard to technological change. While there are a host of social, political, and economic forces buffeting markets, day-by-day technological innovation continues to impair the economics of many businesses and render others obsolete.

The recent accelerated pace of technological innovation has created a multitude of new businesses, while long-established businesses are eroding at an accelerating rate. I could have appreciated more quickly that historic technological advances were adversely impacting the businesses of our more traditional value investments. I was more entrenched philosophically than one of my partners who exhibited greater flexibility and helped move our portfolio, to the benefit of our investors, further in the direction of reasonably priced, higher quality, growing companies characterized by unquestionable competitive strength, solid balance sheets, and shareholder-centric management. An important component of investing includes surrounding yourself with smart people, considering diverse points of view, and being willing to admit when you are wrong.